

war collapse and hectic prosperity, followed by the postwar hesitation, inflation, and deep depression. Between 1925 and 1936 we had the “new-era boom,” the great collapse and depression, and a somewhat irregular recovery towards normal. But if we examine the three-year periods themselves, we cannot fail to be struck by the increasing tendency toward instability even in relatively normal times. This is shown vividly in the progressive widening of the graphs in Chart A, that follows, which trace the fluctuations in general business and industrial stock prices during the years in question.

It would be foolhardy to deduce from these developments that we must expect still greater instability in the future. But it would be equally imprudent to minimize the significance of what has happened and to return overreadily to the comfortable conviction of 1925 that we were moving steadily towards both greater stability and greater prosperity. The times would seem to call for caution in embracing any theory as to the future and for flexible and open-minded investment policies. With these caveats to guide us, let us proceed to consider briefly certain types of investment problems.

A. INVESTMENT IN HIGH-GRADE BONDS AND PREFERRED STOCKS

Bond investment presents many more perplexing problems today than seemed to be true in 1913. The chief question then was how to get the highest yield commensurate with safety; and if the investor was satisfied with the lower yielding standard issues (nearly all consisting of railroad mortgage bonds), he could supposedly “buy them with his eyes shut and put them away and forget them.” Now the investor must wrestle with a threefold problem: safety of interest and principal, the future of bond yields and prices, and the future value of the dollar. To describe the dilemma is easy; to resolve it satisfactorily seems next to impossible.

1. Safety of Interest and Principal. Two serious depressions in the past twenty years, and the collapse of an enormous volume of railroad issues once thought safe beyond question, suggest that the future may have further rude shocks for the complacent bond investor. The old idea of